

BEIJING ARBITRATION COMMISSION/BEIJING INTERNATIONAL ARBITRATION COURT

BAC Case No. (2017) Jing Zhong An Zi No. 2373

CLAIMANT 1 AND CLAIMANT 2 V. RESPONDENT 1 AND RESPONDENT 2

DECISION OF THE EMERGENCY ARBITRATOR

29 September 2017

Tribunal:
[Wei Sun](#) (Emergency Arbitrator)

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Decision of the Emergency Arbitrator

CHAPTER I. INTRODUCTION TO THE PROCEDURE

1.1 The Parties

1. The Parties in this case are:
HK Company X
 Address: **, HONG KONG SAR
 Legal representative: Mr. Gu

HK Company Y
 Address: **, HONG KONG SAR
 Legal representative: Mr. Gu

HK COMPANY A and HK COMPANY B hereinafter collectively referred to as "**the Applicants**"

The Applicants' counsel in this case are:

Beijing ** Law Firm: Mr. Li, lawyer
 ** Beijing Representative Branch: Ms. Cui, lawyer
 ** Hong Kong Office: Mr. Chin, lawyer
 Contact mobile: **
 Email: **

And

Cayman Islands Company Z
 Address: **, Cayman Islands
 Legal representative: Mr. R

Mr. R
 National Identification number: **
 Address: **, Beijing

Cayman Islands Company Z and Mr. R hereinafter collectively referred to as "**the Respondents**"

The Respondents' counsel in this case are:

Guangdong ** Law Firm: Mr. Yin, lawyer
 Guangdong ** Law Firm: Ms. Yin, lawyer
 Contact mobile: **
 Email: **

1.2 The Contracts, arbitration clause, and applicable arbitration rules

2. On 20 August 2012, the Applicants, Cayman Islands Company Z, shareholder of Cayman Islands Company Z Mr. R and seven other shareholders concluded the Agreement on HK Company X's investment in Cayman Islands Company Z and the Agreement on HK Company Y's investment in Cayman Islands Company Z (collectively the "**Investment Agreements**"). Both Articles 19 of the Investment Agreements provide for arbitration and the provisions are the same as cited below:

"19.1 The validity, interpretation and performance of this Agreement shall be governed by the laws of the People's Republic of China.

19.2 Any dispute arising from this Agreement shall be settled first through friendly negotiation. If negotiations fail, either party may submit the dispute to Beijing Arbitration Commission for arbitration according to the rules in effect at the time of application."

3. According to the arbitration clause cited above, the arbitration procedure of this case shall be conducted in accordance with the [Arbitration Rules of Beijing Arbitration Commission](#) (hereinafter the "**Arbitration Rules**") in force as of 1 April 2015. Meanwhile, because among the Applicants and Respondents are legal entities registered in the Hong Kong Special Administrative Region (hereinafter "**Hong Kong**") and the Cayman Islands, [Chapter 8 of the Arbitration Rules](#), special regulations on international commercial arbitration (hereinafter the "**Special Regulations**") shall apply in this case.

1.3 Emergency arbitration procedure

4. On 6 September 2017, the Applicants submitted to the Beijing Arbitration Commission (hereinafter the "**Commission**") Request for Arbitration on Disputes over Equity Repurchase Arising from Investment Agreements (hereinafter the "**Request for Arbitration**"), and Application for Emergency Arbitrator and Interim Measures in Equity Repurchase Disputes Arising from Investment Agreements" (hereinafter the "**Application for Interim Measures**").
5. The Applicants request the emergency arbitrator to take the following interim measures:

(1) Disclosure of property information: to order the Respondents to immediately disclose its movable property and immovable property ("property") in Mainland China, Hong Kong, Cayman Islands or anywhere else, including but not limited to real estate ownership, share equity, partnership equity, fund shares, trust beneficiary rights, claims, securities, bank deposits, cash, intellectual property rights, motor vehicles, etc., and to list the value of all such property, evidence of value, address, ownership certificate and other relevant details, regardless of whether the property is under the Respondents' names, whether it is separately or jointly owned by them, or whether they own the property as a custodian, trustee or beneficiary. However, when the fair market value of all property disclosed by the Respondents reaches \$90 million, further disclosure is not required. The obligation to prove the fair value of the property is on the Respondents. If there is any controversy over the value of the property disclosed by the Respondents, it shall be determined by the arbitral tribunal hearing the substantive disputes between the Parties. If the disclosure is determined to be insufficient, the Respondents shall bear the adverse consequences;

(2) Restriction of disposal of property: to order the Respondents not to move their property in China, Hong Kong, Cayman Islands or any other place out of its original place, regardless of whether the property is under the Respondents' names, or whether it is separately or jointly owned by them; and to order the Respondents not to transfer, damage, pledge or mortgage their property in China, Hong Kong, Cayman , or establish a burden on the rights of their property otherwise, regardless of whether the property is under the Respondents' names, or whether it is separately or jointly owned by them as an individual. The property includes but is not limited to:

- i. Loan claims of HK\$300 million Cayman Islands Company Z owns on its affiliated HK listed Capital Company M;*
- ii. Shares of HK Capital Company M or other Hong Kong listed companies;*
- iii. Property in any cash or securities account opened with banks such as Hang Seng Bank, HSBC, Bank of China Hong Kong Branch and any other banks in any currency.*

Where the Respondents need to conduct transactions in their normal course of business, such transactions can only be carried out after notifying the Applicants and reaching an agreement with the Applicants on the deposit or custody of the funds obtained in the transactions.

(3) Cooperation with the enforcement of this decision: to order the Respondents not to take any actions to impede the enforcement of this decision in any jurisdiction, including initiating any proceedings, applications in courts. The Respondents must also make their best efforts to cooperate, facilitate and assist the Applicants in the enforcement of the decision, including but not limited to signing relevant agreements, obtaining permission, reply, etc. from relevant third parties (such as banks, government agencies, etc.).

Exceptions to this decision: this decision does not prohibit Mr. R and Mr. Z from using US\$ 500 per week as their living expenses and does not prohibit Cayman Islands Company Z from withdrawing US\$ 1,000 per week for employee salaries and payments of rent and utility fees. The Respondents may agree with the Applicants' lawyers on whether they should increase the above spending limits and whether to modify any other aspects of this decision, nonetheless only in writing. If the Respondents pay US\$ 60 million to the arbitral tribunal or the relevant

court as a security deposit or agrees with lawyers of the Applicants or obtains approval from the arbitral tribunal to arrange for other methods as a security equivalent to the amount of the payment, then this decision shall cease to take effect. Effect of this Decision: If the Respondent is an individual, upon receiving the decision of the arbitral tribunal on restraining it from taking certain actions, it shall not be allowed to take such actions prohibited in the order of the arbitral tribunal by itself, or to have others take such actions on its behalf or encourage others to do so. If the Respondent is a company, upon receiving the decision of the arbitral tribunal on restraining it from taking certain actions, the company itself, its directors, managers, employees or agents may not take such actions, or imply, encourage others to take such actions.

6. On 18 September 2017, the Commission accepted the Request for Arbitration of the Applicants. On 19 September 2017, the Director of the Commission appointed Mr. Sun Wei as the emergency arbitrator in this case pursuant to the Request for Arbitration and [Articles 62](#) and [63 of the Arbitration Rules](#).
7. On 29 September 2017, the Applicants submitted to the Commission the Application for Withdrawal of Request for Arbitration and Application for Interim Measures against Mr. Z in the Equity Repurchase Dispute Arising from the Investment Agreements. The emergency arbitrator granted the Applicants' Application for Withdrawal of Application for Interim Measures against Mr. Z in accordance with the [Arbitration Rules](#).

CHAPTER II. OVERVIEW OF THE PROCEDURAL DATES

8. On 18 September 2017, based on the arbitration clause in the Investment Agreements and the Applicants' Request for Arbitration dated 6 September 2017, the Commission decided to accept the case and issued the Notice of Acceptance to the Applicants.
9. On 19 September 2017, in accordance with the Application for Interim Measures, the Commission appointed the emergency arbitrator. On the same day, the emergency arbitrator issued Procedural Order No.1, making the following arrangements for the advancement and timing of the emergency arbitration procedure:

"Beijing Arbitration Commission will notify the Parties matters related to the emergency arbitrator in this case first through e-mail and followed by service of the paper documents by EMS. But matters related to the emergency arbitrator in this case are subject to e-mail notifications. The Respondents should submit a written Defense to the Application for Interim Measures submitted by the Applicants through e-mail before 6 pm 23 September 2017 Beijing time. If the Applicants intends to submit any evidence or other supporting materials, it should do so before the same deadline.

The emergency arbitrator proposes to hear oral submissions of the Parties through telephone

conference at 9:00 am 25 September 2017 Beijing time. Each party shall notify about the persons attending the conference call including counsel on its side by e-mail before 6 pm 24 September 2017 Beijing time.

If a party wishes to submit supplementary opinions, evidence, materials after the conference call, this should be done by e-mail before 6 pm 28 September 2017 Beijing time.

....."

10. On 19 September 2017, in accordance with Procedural Order No.1, the Commission issued Notice on Appointment of the Emergency Arbitrator to the Applicants and Respondents by e-mail, and transmitted Procedural Order No.1, Request for Arbitration, Application for Interim Measures submitted by the Applicants, Applicants' Evidence Bundle I, Applicants' Evidence Bundle IA and Applicants Evidence Bundle IB to the Parties.
11. On 23 September 2017, the Respondents submitted to the Commission Defense against the Application for Emergency Arbitrator and Interim Measures, Annex I: Resolutions of the Shareholders' Meeting, Annex II: Settlement Agreement, Annex III: Legal Opinions issued by a law firm, and other documents. On the same day, the Commission transmitted those documents to the Parties by e-mail.
12. On 25 September 2017, the emergency arbitrator held a conference call with the Parties. The counsel for the Applicants Mr. Li and the counsel for the Respondents Mr. Yin attended the conference call. The Parties made oral submissions and debated on the factual and legal issues of the case. The emergency arbitrator investigated into issues including "possibility of the Applicants' claims on the merits to prevail", "urgency of taking interim measures", "harm of the interim measures to the Respondents and the Applicants' security", and "reasonableness and enforceability of the interim measures" etc.
13. On 25 September 2017, the Applicants submitted to the Commission a sample of the "Ping An Insurance Policy of Property Preservation Liability in Litigation" of China Ping An Property Insurance Co., Ltd. The Commission transmitted the sample to the Parties by email.
14. On 26 September 2017, the Applicants submitted to the Commission Supplementary Opinions on the Application for Emergency Arbitrator and Interim Measures.
15. On 28 September 2017, the Applicants submitted two original copies of "Ping An Insurance Letter on Insurance Policy of Property Preservation Liability in Litigation" provided by China Ping An Property Insurance Co., Ltd. (policy numbers ** and **).
16. On 28 September 2017, the Respondents submitted to the Commission Supplemental Defense Opinions, Annex I: Announcement of 15 September 2016, Annex II: Comprehensive Transaction Orders and Daily Statements, Comprehensive Transactions, and Statements, Annex III: List of Guaranteed Loan by Mr. R, and Annex IV: 2016 Annual Report of HK Listed Company C. On the same day, the Commission transmitted the Supplementary Defense Opinions and its Annexes to the Applicants and transmitted the Supplementary Opinions on the Application of Emergency

Arbitrators and Interim Measures submitted by the Applicants to the Respondents.

17. On 29 September 2017, the Emergency Arbitrator rendered this decision.

CHAPTER III. FACTS OF THIS CASE

18. The analysis and understanding of the case by the emergency arbitrator is not binding on the determination of the facts of the case by the subsequent arbitral tribunal.
19. Based on the evidence and statements submitted by the Parties, the emergency arbitrator understands the transactions and background to the dispute related to the emergency arbitration procedure as follows:
20. HK Company X and HK Company Y are companies registered in Hong Kong, and the legal representative of the two companies is Malaysian national Mr. Gu. Cayman Islands Company Z is registered in the Cayman Islands. Mr. R is a national of Mainland China and is the actual controller of Cayman Islands Company Z.
21. On 20 August 2012, the Applicants signed Investment Agreements with Cayman Islands Company Z, shareholder of Cayman Islands Company Z, Mr. R, and seven other shareholders. The Investment Agreements provide that HK Company X and HK Company Y respectively invest US\$14,716,346 to Cayman Islands Company Z and acquired a 10% stake in Cayman Islands Company Z. On 28 August 2012, the Applicants fulfilled their capital investment obligations to Cayman Islands Company Z and acquired a 10% stake in Cayman Islands Company Z.
22. Article 4.2.1 of the Investment Agreements stipulate that if the aggregated profits of Cayman Islands Company Z and its Shenzhen affiliated Company S is less than the "guaranteed net profit", the Applicants have the right to require Cayman Islands Company Z, Mr. R, and seven other shareholders to increase the shareholding ratios of the Applicants in Cayman Islands Company Z each to 12.5%.
23. Article 4.2.2 of the Investment Agreements stipulate that before Cayman Islands Company Z or Shenzhen Company S is publicly listed in accordance with Article 5.1 of the Investment Agreements, the annual consolidated net profit of Cayman Islands Company Z and Shenzhen Company S shall not be less than "the guaranteed minimum annual net profit", otherwise the Applicants have the right to either require Cayman Islands Company Z and Mr. R to make up for the profit or to undertake the repurchase obligation.
24. Article 5.1 of the Investment Agreements stipulate that Cayman Islands Company Z or Shenzhen Company S will have its initial public offerings in domestic or internationally recognized stock exchange and be listed for transaction before 31 December 2017. The specific plan for listing will be decided by the resolution of the company's shareholders taking into account of market situations and the company's performance.
25. Article 6.1 of the Investment Agreements stipulate that in the event of the following circumstances,

the Applicants have the right to request Cayman Islands Company Z and Mr. R to repurchase the shares held by the Applicants: ... (10) failure of fulfilling the guaranteed annual minimum net profit requirement under Section 4.2.2 in any one of the years before listing; ... (15) transactions or guarantees carried out between Cayman Islands Company Z and its affiliates which are detrimental to the investors.

26. As the annual performance of Cayman Islands Company Z and Shenzhen Company S in 2012 did not meet the guaranteed net profit as stipulated in the Investment Agreements, the total percentages of shares held by the Applicants in Cayman Islands Company Z increased to 12.5% each in accordance with Article 4.2.1 of the Investment Agreements.
27. On 18 September 2015, Mr. Gu, legal representative of the Applicants signed a Settlement Agreement with Cayman Islands Company Z and its HK affiliated company. Pursuant to the Settlement Agreement, Cayman Islands Company Z and its HK affiliated company agreed to:
 - (1) Early terminate multiple funds managed by them and allocate the fund assets to Mr. Gu;
 - (2) Waive the fund management fee, performance fee and other expenses payable by Mr. Gu;
 - (3) Pay to Mr. Gu HK\$ 79,088,792.53.

Mr. Gu agreed to:

- (1) Cooperate with Cayman Islands Company Z and its HK affiliated company to sign a Resolution of the Shareholders' Meeting to be formed on 18 September 2015 regarding the transaction plan with Hong Kong listed Company P, and cooperate with the implementation of the resolution;
- (2) Withdraw the litigations it had initiated in Hong Kong and the Cayman Islands.

In addition, Article 5.1 of the Settlement Agreement stipulates that once the above obligations have been fully performed, the Parties shall mutually discharge each other from any legal obligations under this Agreement, and permanently waive any claims of its or its parent company, subsidiaries and other affiliated parties against the other party and its affiliated parties.

28. On 18 September 2015, the shareholders of Cayman Islands Company Z (including HK Company X, HK Company Y and Mr. R etc.) signed a resolution of the shareholders meeting (hereinafter "Resolution"). Subject to this Resolution, Cayman Islands Company Z will subscribe for new shares issued by Hong Kong Company P with its own capital at a price of no more than HK\$ 700 million, and the newly subscribed shares will be immediately distributed to shareholders in the form of allocating dividends according to the equity ratio. The remainder of the assets in Cayman Islands Company Z, if any, should be distributed to the shareholders according to the equity ratio. The Investment Agreements are terminated when the new plan is completed, and each shareholder obtains their due shares of Hong Kong Company P. Each shareholder confirms that the new plan has realized the common goal of the shareholders to have Cayman Islands Company Z listed. To protect and maximize the interests of shareholders, the shareholders agree and will support the management to continuously optimize the plan during the process of transacting with Hong Kong Company P.
29. In 2016, Cayman Islands Company Z acquired shares in Hong Kong Company P by selling its shares

in various companies to Hong Kong Company P and continued to acquired shares in Hong Kong Company P from the market. At the end of 2016, Cayman Islands Company Z held 18.8% of the shares of Hong Kong Company P, which was more than 2.6 billion shares. Hong Kong Company P was renamed as HK Capital Company M.

30. After obtaining the above shares of HK Capital Company M, Cayman Islands Company Z pledged 2 billion of its shares to H International Securities Co., Ltd., ***** and other securities companies (hereinafter "**Securities Companies**") for financing. On 28 December 2016, Cayman Islands Company Z signed a Loan Agreement with HK Capital Company M to provide the latter with an unsecured loan of HK\$300 million. The expiration date of the loan period was 1 January 2018 and was later extended to 1 January 2019.
31. As the stock price fluctuated during the pledge which caused the value of the pledge to be insufficient, the Securities Companies sold out a portion of the pledged shares to make up for the deposit. At that point, the shares of HK Capital Company M held by Cayman Islands Company Z fell to approximately 1.9 billion.
32. On 26 July 2017, Cayman Islands Company Z made a Resolution of the Shareholders' Meeting to transfer the shares of the company in HK Capital Company M to each shareholder at zero price, but each shareholder must bear the corresponding proportion of debts secured by the shares. On 28 July 2017, Cayman Islands Company Z signed the transfer deed with the Applicants and transferred 284,185,020 shares of HK Capital Company M to HK Company X for free and transferred 189,456,680 shares of HK Capital Company M to HK Company Y for free.
33. On 11 August 2017, the Applicants issued repurchase notices to Cayman Islands Company Z and Mr. R respectively, requesting Cayman Islands Company Z and Mr. R to repurchase the shares of the Cayman Islands Company Z held by the Applicants separately or jointly within 6 months of receipt of the notice.
34. On 4 September 2017, HK Capital Company M announced that Cayman Islands Company Z had signed a Loan Replacement Agreement with eight lenders, transferring Cayman Islands Company Z's HK\$ 222 million claims in HK Capital Company M to the eight lenders. The claims were further converted into shares of HK Capital Company M held by the eight lenders. Among the eight lenders were HK Company X and HK Company Y, but excluding Mr. R.

CHAPTER IV. REVIEW CRITERIA FOR EMERGENCY ARBITRATION PROCEDURES

35. In cognizant of the large discretion the [Arbitration Rules](#) grants on the emergency arbitrator, drawing on practices of international commercial arbitration, the emergency arbitrator maintains that when reviewing the Application for Interim Measures submitted by the Applicants, the following issues should be considered:

1. Whether there is a reasonable possibility that the Applicants will prevail with its claim on

- the merits;
- 2. Whether the situation is urgent so that if the interim measures are not granted, irreparable harm to the Applicants is likely to result, and whether such harm substantially outweighs the harm to the Respondents should the interim measures be granted;
- 3. Whether each of the interim measures requested by the Applicants is reasonable and enforceable.

CHAPTER V. CORE DISPUTES OF THE EMERGENCY ARBITRATION PROCEDURE IN THIS CASE

- 36. With regard to the above criteria for review of the emergency arbitration procedure, counsel of the Parties made full submissions in the telephone conference on 25 September 2017 and in the supplementary opinions subsequently submitted. The submissions are summarized and analyzed as follows:

5.1 Whether there is a reasonable possibility that the Applicants will prevail with its claim on the merits

- 37. The Applicants requested the following reliefs in its Request for Arbitration:

Request the arbitral tribunal to order the Respondents, as soon as possible, but no later than 11 February 2018 to:

- 1. pay US\$ 30,809,375 to HK Company X for the acquisition of all shares held by HK Company X in Cayman Islands Company Z;
 - 2. pay US\$ 31,331,570 to HK Company Y for the acquisition of all shares held by HK Company Y in Cayman Islands Company Z;
 - 3. bear the arbitration costs of this case;
 - 4. reimburse the Applicants for the cost of applying for interim measures and the cost of providing security and other property preservation costs for the settlement of the disputes involved in this case;
 - 5. reimburse the Applicants for the attorney fees, investigation fees, appraisal fees, witness fees, etc. they have incurred for the settlement of disputes in this case (including application for injunctions, property preservation measures, etc. to courts of different jurisdictions).
 - 6. Be jointly and severally liable for the above obligations.
- 38. In determining whether the Applicants have a reasonable chance to prevail, the Parties submitted their opinions on the following three issues.

Issue I: Whether the conditions for repurchase agreed in the Investment Agreements are fulfilled

39. The Applicants submitted that the conditions for repurchase agreed in the Investment Agreements had been fulfilled:

1. According to Article 6.1 (10) of the Investment Agreements, if any of the annual minimum net profit of Cayman Islands Company Z and Shenzhen Company S is not met in any one year before the listing, the Applicants shall have the right to request the Respondents to perform their repurchase obligations. The Applicants argued that the minimum net profit of the Cayman Islands Company Z from 2014 to 2016 failed to meet the minimum net profit specified in Section 4.2.2 of the Investment Agreements, which triggered the repurchase obligation by the Respondents in accordance with Article 6.1 (10) of the Investment Agreement.
2. According to Article 6.1 (15) of the Investment Agreements, if the Cayman Islands Company Z conducts transactions or guarantees with its affiliates that are detrimental to the investor, the Applicants have the right to request the Applicants to assume the repurchase obligation. The Applicants claimed that Cayman Islands Company Z did not distribute the shares to shareholders according to the resolutions of the shareholders' meeting made on 18 September 2015 after obtaining the shares of the company. Instead, Cayman Islands Company Z pledged the shares to the Securities Companies, and loaned the money financed to HK Capital Company M. The Respondents' aforementioned acts transformed the stock assets that are highly liquid and can be liquidated by the shareholders at any time according to market situations into illiquid assets, which triggered the repurchase obligation of the Respondents in accordance with Article 6.1 (15) of the Investment Agreement.
3. According to Article 6.1 of the Investment Agreements, in the event of any of circumstances stipulated in this Article, the Applicants shall have the right to request the Respondents to repurchase the shares held by them. Now that the behavior of the Respondents constitutes circumstances of Article 6.1 (10) and (15) of the Investment Agreements, the Applicants are entitled to request the Respondents to repurchase the shares based on any one of the provisions.

40. The Respondents submitted the following rebuttals:

1. Cayman Islands Company Z is not a qualified Respondent in this case. According to Article 20 of the Company Law of the People's Republic of China (hereinafter the "Company Law") and related judicial interpretations, Cayman Islands Company Z, as the invested company in the Investment Agreements, shall not bear the repurchase obligation. Therefore, it is not a qualified Respondent in this case.
2. Article 16.6 of the Investment Agreements stipulate that when the investors make an option to be jointly listed as shareholders, the repurchase right under this agreement then may become invalid. Accordingly, the Respondent contended that after the listing of Cayman Islands Company Z or Shenzhen Company S, the Respondent's repurchase obligation cease

to exist. In other words, the listing obligation and the repurchase obligation are mutually exclusive. Since Cayman Islands Company Z had completed listing on 15 September 2016 in accordance with the terms of the Investment Agreements, the purpose of the Applicants has actually been fulfilled under the Investment Agreements, and the Respondents' repurchase obligations has been discharged.

3. The guarantee of minimum profit margin as stipulated in Article 6.1(10) of the Investment Agreements is a minimum-profit-guarantee clause, which violates relevant compulsory provisions on validity of China and shall be null and void.
4. Cayman Islands Company Z's acts of providing equity pledge to the Securities Companies and transferring the loan to HK Capital Company M after the subscription of the new shares of HK Capital Company M are in conformity with the by-laws of Cayman Islands Company Z. The Applicants participated in the relevant process and signed relevant documents of resolutions. Therefore, the behavior of the Respondent does not constitute "transactions or guarantees that are detrimental to the investor" as stipulated in Article 6.1(15) of the Investment Agreements.

41. Based on the existing evidence before the emergency arbitrator, the emergency arbitrator maintains that the reasoning and the basis of the Respondents' above arguments are not persuasive enough.

(1) The effect of the repurchase clause:

First, China's Company Law does not completely prohibit companies from repurchasing shares. Article 142 of the Company Law stipulates that the company may not acquire shares of its own. However, there are several exceptions to the rule: (1) when the company intends to reduce its registered capital; (2) when the company intends to merge with other companies holding shares of the company; (3) when the company intends to reward its employees with shares of the company; (4) when the shareholders hold objections to the Resolution of the Shareholders' Meetings on the merger and division of the company, and requires the company to repurchase its shares in the company. Although Article 6.1 (10) of the Investment Agreements does not directly fall into the following four situations, once the repurchase obligation is fulfilled, it will objectively result in a decrease in the company's registered capital. Thus, the Investment Agreements can be legally performed. It should also be noted that the aforementioned provision of the Company Law is a compulsory provision on administration. According to Article 15 of the Guiding Opinions on Several Issues Concerning Trial of Cases on Disputes over Civil and Commercial Contracts in the Current Situation and related jurisprudence, if a legal provision clearly stipulates that a contract or act that violates the provision is invalid, then the provision is usually a compulsory provision on validity, otherwise it is a compulsory provision on administration. Besides, if the purpose of the legal provision is for administration, then it is also a compulsory provision on administration. Article 142 of the Company Law does not expressly stipulate that any contract or act that is in breach of the provision is invalid, and it also sets out circumstances where the company is allowed to acquire its own shares. The objective of the provision is to safeguard the principle of capital maintenance of the company and to protect the interests of creditors. Therefore, the provision was drafted for administration purposes. Accordingly, even if the provision of the Investment Agreements on the repurchase of

shares violates the provisions of Article 142 of the Company Law, such a contractual provision is not necessarily null and void.

Second, the condition that triggers the repurchase obligation (the minimum profit guarantee) is broadly defined as the investment value adjustment clause (commonly known as the "gambling clause"). The validity of these terms differs depending on the subject of the repurchase obligation. If the subject of the repurchase obligation are shareholders, it is generally recognized as a valid clause. If the subject of the repurchase obligation is the target company, its effectiveness is controversial. On the one hand, the Supreme People's Court found in Haifu Investment and Gansu Shiheng Retrial Case (2012 Min Ti Zi No.11) that the minimum profit guarantee reached between the investors and the target company will enable the investors to obtain a relatively fixed profit, which was isolated from the actual performance of the target company, thus damaging the interests of the company and the company's creditors. Therefore, the gambling provision between the investor and the target company was invalid. On the other hand, among the arbitration practice in China in recent years, some arbitral awards that are well received by the industry hold that when the investor signs a capital increase agreement with the target company, it has not yet become a target company shareholder. The capital increase agreement forms the investment legal relationship. Therefore, the validity of the gambling clause is subject to provisions of the Contract Law. An investor is regulated by the Company Law only when it becomes a shareholder of the target company. The company and its shareholders can conduct transactions, and it is inappropriate to regard the shareholders' behavior of taking assets from the company as violations of the provisions of the Company Law regarding principle of capital maintenance. It is very common for commercial parties to pay shareholders according to the investment value adjustment mechanism. Reduction of assets is not an impairment of interests. There is no necessary connection among the shareholder's acquisition of the company's assets, violation of the principle of capital maintenance, and capital reduction restrictions. Therefore, the gambling clause between the investor and the target company is not per se invalid.

In view of the above differences in judicial practice and legal opinions, the emergency arbitrator holds that the dispute between the Parties over the validity of Article 6.1 (10) of the Investment Agreements is a core substantive dispute and should be put aside for the arbitral tribunal to decide. However, in the emergency arbitration procedure, the dispute is insufficient to deny the possibility of the Applicants' claim to prevail on the merits.

(2) Relationship between the listing obligation and the repurchase obligation:

First, the Respondents cited Article 16.6 of the Investment Agreements. The emergency arbitrator notes that Article 16 of the Investment Agreement is a representation, warranty, and indemnity clause. Article 16.6 is a special arrangement on listing but not on repurchase.

Second, Article 6 of the Investment Agreements provides for the repurchase. Article 6.1 stipulates the conditions that trigger the repurchase. Article 6.2 stipulates the repurchase price. Article 6.3 stipulates the repurchase period. Article 6.4 stipulates the order of repurchase. None of the terms indicates that if Cayman Islands Company Z or Shenzhen Capital Company S is successfully listed, the repurchase obligations of Cayman Islands Company Z, Mr. R will be discharged. The listing plan provided in Article 5.1 of the Investment Agreements does not concern the impact of successful listing on the repurchase obligations of Cayman Islands

Company Z and Mr. R. Discharge of the repurchase obligation (or the loss of repurchase rights) is an important clause. Whether it is the real intention of the Parties to discharge the repurchase obligation through Article 16 is an issue that the emergency arbitrator cannot decide for now and should be left to the arbitral tribunal to decide.

Thirdly, from a semantic point of view, the term "then may be" in Article 16.6 cannot be simply understood as inevitable deprivation of the right to request for repurchase after listing. The latter part of the article is "when the investor has not made a written choice within the specified time period, the original shareholders of the target company can choose to repurchase the investor's shares or choose the investors as shareholders to be jointly listed. The investors shall not have any objection, and the price of the repurchase shall be calculated according to the terms concerning the repurchase in this agreement." From a comprehensive understanding of the textual meaning of Article 16.6, the interpretation that the repurchase obligation is discharged after listing is not persuasive enough.

Therefore, based on the *prima facie* evidence, the listing obligation and the repurchase obligation are two independent obligations and are not mutually exclusive. Interpretation of Article 16.6 is a substantive legal issue and should be resolved by the arbitral tribunal, but the dispute does not undermine the possibility of the Applicants' request of arbitration to prevail.

Issue II: Does the Settlement Agreement constitute a waiver of the Applicants' right to repurchase

42. The Respondents contended that the Settlement Agreement constituted a waiver of the Applicants' right to repurchase:
 1. According to the Settlement Agreement, the Respondents compensated Mr. Gu nearly HK\$ 80 million and discharged Mr. Gu from fund management fees, performance fees and other expenses totaling approximately HK\$ 80 million, the total compensation being approximately HK\$ 160 million. The Respondents had in fact fulfilled the repurchase obligations stipulated in the Investment Agreements.
 2. The Settlement Agreement clearly stipulated that Mr. Gu should cooperate with Cayman Islands Company Z to sign the Resolution of the Shareholders' Meeting on the trading plan with HK Company P as of 18 September 2015 and should cooperate with the implementation of the resolution. Therefore, the scope of the Settlement Agreement should cover the Investment Agreements signed in 2012. In conclusion, pursuant to Article 5 of the Settlement Agreement, Mr. Gu had waived any existing and future claims owned by itself and its affiliated parties against the other party and any of its affiliated parties, including the right to repurchase under the Investment Agreements.
 3. Due to the high degree of confusion of identity between Mr. Gu and the Applicants, the waiver of the right to repurchase by Mr. Gu should be deemed as waiver of the right to repurchase by the Applicants.

43. The Applicants made the following rebuttals:

1. The Settlement Agreement was signed by Mr. Gu in his own name and did not represent the intention of the Applicants, so the effect of which could not be extended to the Applicants. Although Mr. Gu is the controlling shareholder of the Applicants, according to the principle of independent identity of the legal person, the behavior of Mr. Gu should be distinguished from that of the Applicants.
2. The Settlement Agreement was intended to resolve a series of investment disputes between Mr. Gu himself and HK Capital Company M, without covering transactions or disputes with the Respondents. Paragraph C of the Whereas clause of the Settlement Agreement expressly limits the scope of the claims covered by this Agreement to the disputes set out in paragraphs A and B and other requests that Mr. Gu has filed before signing the agreement (if any) but not listed therein. Since the Investment Agreements are not included in the disputes in paragraphs A and B, and before the date of signing the agreement, neither Mr. Gu nor the Applicants filed a repurchase request with respect to the Investment Agreements, the scope of the Settlement Agreement does not include the Investment Agreements.
3. Although Article 3.1 of the Settlement Agreement mentioned Mr. Gu's cooperation with Cayman Islands Company Z to sign a resolution of the shareholders meeting to be formed on 18 September 2015 regarding the trading plan with HK Company P, the scope of the transactions covered by the Settlement Agreement still cannot be interpreted to include the Investment Agreements. The textual meaning of Article 3.1 of the Settlement Agreement is very clear, which is that as a consideration for settlement, Mr. Gu needs to support the matters related to HK Company P in the Resolution of the Shareholders' Meeting on 18 September 2015. The provision itself does not deal with in substance any issues under the Investment Agreements.

44. The Parties hold different views towards the true background of the Settlement Agreement and whether it covers the Investment Agreements. Both views can justify themselves. Article 5.1 of the Settlement Agreement stipulates that after the performance of the above matters, the Parties shall mutually discharge each other from any legal obligations related to this Agreement, and permanently waive any claims of its or its parent company, subsidiaries and other affiliated parties against the other party and its affiliated parties. This provision may indeed be interpreted as waiver of the repurchase right in dispute by Mr. Gu on behalf of the Applicants. As argued by the Respondent, Chinese laws do allow for the identity of the company and its actual controllers to be conflated in specific circumstances. But what is perplexing is that for a major issue such as the waiver of repurchase rights which involves a huge amount of money, if the Parties to the Settlement Agreement do have such an intention, why did they not specify this in the Agreement instead of relying a more general statement of Article 5.1? For another example, the Whereas clause of the Settlement Agreement clearly stipulates that this Agreement is concluded to solve the dispute between Mr. Gu and HK Capital Company M concerning the funds managed by the latter and other investment of Mr. Gu in the latter. If the Settlement Agreement also covers the Investment Agreements, why are they not specified in the Whereas clause? Many similar issues are pending investigation and determination by the arbitral tribunal. In the emergency arbitration procedure, the arbitrator cannot rely on the Settlement Agreement to deny the possibility that the Applicants' claim on the merits will prevail.

Issue III: Whether the Resolution of the Shareholders' Meeting on 18 September 2015 and its implementation have caused the termination of the Investment Agreements, thereby discharging the repurchase obligation

45. Item 4 of the Resolution of the Shareholders' Meeting on 18 September 2015 stipulates that the Investment Agreements are terminated once Cayman Islands Company Z has completed the new plan and each shareholder has acquired shares of HK Company P based on the equity ratio.
46. The Respondents contended that Cayman Islands Company Z had subscribed for new shares issued by HK Company P in accordance with the Resolution of the Shareholders' Meeting and had completed the new plan. Also, Cayman Islands Company Z had distributed the shares to shareholders based on the equity ratio. Therefore, the conditions for termination of the Investment Agreements as stipulated in Item 4 of the Resolution of the Shareholders' Meeting had been fulfilled, the Investment Agreements were deemed terminated then, and the repurchase obligations stipulated in the Investment Agreements had been discharged.
47. The Applicants made the following rebuttals:
 1. Cayman Islands Company Z did not immediately distribute the shares to the shareholders based on the equity ratio and in the form of distributing the proceeds in accordance with Item 1 of the Resolution of the Shareholders' Meeting. Instead, it pledged the newly subscribed shares to the Securities Companies, and loaned the money financed to HK Capital Company M. The behavior of Cayman Islands Company Z violated the Resolution of the Shareholders' Meeting.
 2. The shares Cayman Islands Company Z currently holds has decreased from 2.6 billion to 1.9 billion shares. After the ongoing equity allocation, the value of the shares that the Applicants will obtain is much lower than that the Applicants can obtain if Cayman Islands Company Z distributed the shares immediately after each subscription of new shares in accordance with the Resolution of the Shareholders' Meeting. Moreover, the Applicants need to bear the corresponding proportion of the arrears guaranteed by the shares. Therefore, the behavior of Cayman Islands Company Z essentially caused the Applicants to fail to obtain the shares in accordance with the resolution of shareholders' meeting. The conditions for termination of the Investment Agreements were not fulfilled and the repurchase obligation was not discharged.
48. The arbitrator finds the Applicants' arguments on this issue is more persuasive. Based on the existing evidence, Cayman Islands Company Z failed to immediately distribute shares to shareholders in accordance with the Resolution of the Shareholders' Meeting after subscribing new shares of HK Company P. Instead, it pledged the shares and loaned the money financed to HK Capital Company M. This behavior objectively changed the arrangements agreed in the Resolution of the Shareholders' Meeting, which postponed the time for the Applicants to obtain the corresponding shares and caused additional burden on the rights of the shares obtained, resulting in the actual

value of the stock obtained by the Applicants being lower than that stipulated in the Resolution of the Shareholders' Meeting. Therefore, the behavior of Cayman Islands Company Z was not in conformity with the resolution of shareholders' meeting. The conditions for termination of the Investment Agreements were not fulfilled and the repurchase obligation was not discharged.

49. In addition, Articles 4.2.2.2 and 6.1 of the Investment Agreements expressly stipulate that the Applicants have the right to request the Cayman Islands Company Z and Mr. R to repurchase their shares. Article 6.4 stipulates that in fulfilling the repurchase obligation, Cayman Islands Company Z assumes the repurchase responsibility in the first place with all of its assets, and the shortfall is to be assumed by Mr. R. According to the Investment Agreements, Mr. R is the subject of the repurchase obligation, and the Applicants' claim against Mr. R to repurchase is supported by the contract and enjoys the rights of claim. As to whether Mr. R should bear joint and several liability, it is a substantive legal issue and should be left to the arbitral tribunal's discretion. However, this issue does not affect the possibility that the Applicants' claim on the merits may prevail.
50. In summary, the Applicants have provided *prima facie* evidence to prove that its claim on the merits has a reasonable possibility to prevail, and the reasoning and the basis of the Respondents' arguments have not persuaded the emergency arbitrator that the Applicant's claim is without merits, or that there is an apparent obstacle for the Applicants to obtain a favorable award.

5.2 Whether the situation is urgent so that if the interim measures are not granted, irreparable harm to the Applicants is likely to result, and whether such harm substantially outweighs the harm to the Respondents should the interim measures be granted

51. The Applicants submitted that there are currently two acts of malicious transfer of assets by the Respondents:
 1. The Respondents are distributing the shares of HK Capital Company M to the shareholders.
 2. Notwithstanding the Applicants' objection, Cayman Islands Company Z signed the Loan Replacement Agreement with eight lenders to transfer Cayman Islands Company Z's HK\$ 222 million claims on HK Capital Company M to the eight lenders. The claims were further converted into shares of HK Capital Company M held by the eight lenders. Although the Applicants were included in the eight lenders, Mr. R was not included. Two outsiders (Investment Company S and Mr. Shen) took Mr. R's place, becoming the assignees of free transfer. The act of the Respondents to transfer the loan claims to outsiders without compensation is a malicious transfer of assets, infringing the Applicants' shareholder rights.
52. The Applicants submitted that if the emergency arbitrator did not grant interim relief to restrict the transfer of assets by the Respondents, the main assets of the Cayman Islands Company Z would be quickly transferred once the Loan Replacement Agreement signed by the Respondents was approved by the Hong Kong Stock Exchange. Therefore, the Applicants argued that the interim

measures they requested were of urgency.

53. Respondents contended that: First, Cayman Islands Company Z's current distribution of the shares of HK Capital Company M was implementing the Resolution of the Shareholders' Meeting on 18 September 2015, and was in compliance with the by-laws of Cayman Islands Company Z. The Applicants also obtained its shares through the distribution. The act of Respondents was not a transfer of assets. Second, the nature of the Loan Replacement Agreement signed by the Respondent is to allocate shares instead of transferring assets. As for Mr. R's designation of a third-party to accept the loan credit, it was a legitimate exercise of shareholder rights and did not affect the rights of other shareholders, especially the Applicants.
54. With respect to the acts of the Respondents to maliciously transfer assets, the emergency arbitrator maintains that:
 1. Cayman Islands Company Z's distribution of the shares of HK Capital Company M to each shareholder was implementing the Resolution of the Shareholders' Meeting on 18 September 2015. The Applicants also obtained corresponding equity as shareholders. The emergency arbitrator finds for the Respondents that Cayman Islands Company Z's act is not a malicious transfer of assets and should not be regarded as causing damage to the Applicants.
 2. The Parties did not fully explain the true background and specific operations of the Loan Replacement Agreement. The emergency arbitrator cannot speculate on the true intent of the agreement. However, from its objective effect, the Loan Replacement Agreement might have resulted in the transfer of Cayman Islands Company Z assets and affected its solvency. Therefore, it is more appropriate to suspend the effect of the Loan Replacement Agreement until the dispute in this case is resolved.
55. In weighing the harm to the Respondents if the interim measures are granted and that to the Applicants if the interim measures are not granted, the emergency arbitrator holds that:
 1. The impact on the Respondents caused by restricting the Respondents' disposal of the claims of Cayman Islands Company Z on HK Capital Company M is the suspension and delay of the Respondent's transaction arrangements. This interim measure does not involve the loan claims of Cayman Islands Company Z itself and does not result in impairment of the claims. However, without this interim measure, the Loan Replacement Agreement might objectively cause the transfer of Cayman Islands Company Z assets, affecting the solvency of the Cayman Islands Company Z. Therefore, the harm of not granting the interim measure to the Applicants substantially outweighs the harm of taking interim measures to the Respondents.
 2. Admittedly, restricting Mr. R from disposing the shares of HK Capital Company M may affect its financial condition. However, considering that the Applicants have provided enough security (see discussion at Chapter VI below), even if the interim measures were proved wrong afterwards, Mr. R can still be compensated by the security of the Applicants. By contrast, if the interim measure is not granted, the property of Mr. R may be transferred, affecting its solvency. Therefore, the harm of not granting the interim measure to the Applicants substantially outweighs the harm of taking interim measures to Mr. R.

3. The Respondents mentioned that Mr. R had personally provided security to HK Capital Company M for its bank loan. If the interim measures are granted to restrict disposal of property by Mr. R, the bank would accelerate the expiration of the bank loan on grounds that the security provided is insufficient to cover the secured debts, and demand HK Capital Company M to repay the loan in advance, which would cause severe and irreparable harm to the production and operations of HK Capital Company M. The emergency arbitrator holds that the Respondents failed to prove that Mr. R's security liability to the bank had already occurred, nor did the Respondents prove that restricting Mr. R from disposing his shares in HK Capital Company M will result in the bank accelerating the expiration of the bank loan on grounds that the security provided was insufficient to cover the secured debts.
 4. The Respondents also contended that the interim measures would adversely affect the production and operations of multiple subsidiaries of HK Capital Company M. The emergency arbitrator holds that the interim measures in this case are targeted at Cayman Islands Company Z, and restricting Cayman Islands Company Z from disposing its claims on HK Capital Company M does not directly affect the production and operations of HK Capital Company M.
56. In summary, the emergency arbitrator holds that Cayman Islands Company Z's distribution of shares to the shareholders is justified and is not a malicious transfer of assets. The signing of the Loan Replacement Agreement by Cayman Islands Company Z objectively led to possible transfer of its assets, which would further affect its solvency. If the interim measures are granted, subsequent enforcement of the arbitral award would be affected, which would cause harm to the Applicants, and such harm would substantially outweigh the harm to the Respondents if the interim measures are granted.

5.3 Whether the interim measures requested by the Applicants are reasonable and enforceable

57. The Applicants filed five requests for relief in its Application for Interim Measures, which can be summarized as: mandatory disclosure of property information, restriction on disposal of property, cooperation with the implementation of this decision, exceptions to interim measures, and determination of the scope of effectiveness of the decision.
58. The scope of the interim measures proposed by the Applicants involves Mainland China, Hong Kong, the Cayman Islands and other countries or regions, so this decision may be enforced or performed in multiple jurisdictions. Considering that the Respondent's property specified by the Applicants (i.e., Cayman Islands Company Z's loan claims on HK Capital Company M and HK Capital Company M's shares held by the Respondents) are all located in Hong Kong, the emergency arbitration's determination of enforceability of the interim measures is largely based on relevant laws and regulations of Hong Kong.

59.

Section 22B(2) of the Arbitration Ordinance, Cap. 609 of the Laws of Hong Kong stipulates: The Court may not grant leave to enforce any emergency relief granted outside Hong Kong unless the party seeking to enforce it can demonstrate that it consists only of one or more temporary measures (including an injunction) by which the emergency arbitrator orders a party to do one or more of the following—

- a. maintain or restore the status quo pending the determination of the dispute concerned;
- b. take action that would prevent, or refrain from taking action that is likely to cause, current or imminent harm or prejudice to the arbitral process itself;
- c. provide a means of preserving assets out of which a subsequent award made by an arbitral tribunal may be satisfied;
- d. preserve evidence that may be relevant and material to resolving the dispute;
- e. give security in connection with anything to be done under paragraph (a), (b), (c) or (d);
- f. give security for the costs of the arbitration.

60. According to the above provision, the Court of First Instance of the High Court may enforce interim measures taken by overseas emergency arbitrators, provided that the content of the interim measures falls within the scope of section 22B(2)(a)-(f) of the Arbitration Ordinance. Otherwise, it will not be implemented.

First request of the Applicants: Mandatory disclosure of property

61. The Applicants requested the arbitrator to order the Respondents to immediately disclose in writing the movable and immovable property held by them in Mainland China, Hong Kong, the Cayman Islands or anywhere else. Because the amount of property of the Respondents that was under the Applicants' control is limited, it is insufficient to compensate the entire amount requested by the Applicants. If the Respondents are not forced to disclose their property, once the Applicants' claim is supported, it cannot be effectively enforced.
62. The Respondents submitted that this request of the Applicants was not objective and unenforceable. The Applicants, as shareholders of Cayman Islands Company Z, have a long-term partnership with the Respondents, which enables it to be fully aware of the property status of Cayman Islands Company Z. There is no need for the Respondents to disclose property for arbitration purpose. In addition, as a listed company, HK Capital Company M has disclosed property information in accordance with the rules on information disclosure of the Hong Kong Stock Exchange without any property hidden.
63. The emergency arbitrator holds that the purpose of the Applicants to require the Respondents to disclose general information on their property undisputed in this case is to facilitate subsequent property preservation. In other words, if the Respondents disclose property other than Cayman Islands Company Z's claims against HK Capital Company M and the shares held by HK Capital Company M, the Applicants will seek preservation measures against the property in relevant jurisdictions.

64. The emergency arbitration procedure was originally designed to be applied in most urgent circumstances. The emergency arbitrator is reluctant to categorize disclosure of general property as an "urgent" matter. In addition, the emergency arbitration procedure itself should not be a mechanism to force the Respondents to disclose its general property.
65. As requested by the Applicants in its Application for Interim Measures, "...if there is any objection to the value of the property disclosed by the Respondents, it shall be decided by the subsequent arbitral tribunal hearing the disputes between the Parties." Granting of this request will bring to the arbitral tribunal that will subsequently hear the case excessive obligations and stumbling blocks, which is not a reasonable decision at the stage of emergency arbitrator proceedings.
66. It is not uncommon in common law jurisdictions to require the Respondents to disclose property to facilitate subsequent preservation measures. If a court grants this type of interim relief, refusal of the Respondent to disclose the property may constitute contempt of court. Therefore, this would press and prompt the Respondents to abide by the court's property disclosure order. However, in international arbitration proceedings, the emergency arbitrator itself does not have the power to investigate into the criminal liability of a party. As far as the emergency arbitration procedure is concerned, the order to disclose property is also difficult to be enforced in the relevant courts. In Hong Kong, for example, since disclosure of property does not fall within the scope of 22B(2)(a)-(f) of the Arbitration Ordinance, it is hard to be enforced in Hong Kong courts.
67. Accordingly, the requested interim relief of mandatory disclosure of general property information lacks reasonableness and enforceability. Such request is not sustained by the emergency arbitrator.

Second request of the Applicants: Restriction of disposing property

68. The Applicants requested the arbitrator to order the Respondents not to remove property from mainland China, Hong Kong, the Cayman Islands or any other place. The Applicants claimed that due to the malicious transfer of property by the Respondents, if the emergency arbitrator did restrict the disposition of the assets, the shareholders' rights of the Applicants would be seriously damaged.
69. The Respondents submitted that all actions taken by the Respondents had justifiable reasons and bases, that there was no malicious transfer of property, and that disposal of property by the Respondents will not harm the interests of the Applicants.
70. The emergency arbitrator holds that the second request of the Applicants is within the scope of Section 22B(2)(a) (maintaining the status quo) or 22B(2)(c) (property preservation) of the Arbitration Ordinance. The part of the Applicants' request which has specified the property separately owned by the Respondents (i.e. Cayman Islands Company Z's loan claims of HK\$ 300 million on HK Capital Company M and the shares of HK Capital Company M held by the Respondents) should be sustained.
71. With respect to the Applicants' request to restrict the Respondents' disposal of general unspecified property, the emergency arbitrator holds that if being granted, this interim relief will have difficulty to be effectively enforced, and it may also impose excessive and unreasonable obligations on the

Respondents. Therefore, this part of the request should not be sustained.

Third request of the Applicants: Cooperation with the enforcement of this decision

72. The Applicants requested that the emergency arbitrator order the Respondents to refrain from taking any action in any jurisdiction to impede the enforcement of this decision in any jurisdiction, including initiating any proceedings, applications in courts. The Applicants argued that if the Respondents filed a lawsuit or other procedure in other jurisdictions, the enforcement of the interim measures would be obstructed, and a large number of parallel litigations would be generated.
73. The Respondents submitted that this request of the Applicants was a serious interference with the Respondents' justifiable right of action. The Applicants' initiation of the arbitration procedure and the emergency arbitration procedure in accordance with the arbitration clause stipulated in the Investment Agreements shall not restrict the Respondents' justifiable right of action and access to other justifiable reliefs.
74. The emergency arbitrator holds that: first, the fundamental procedural rights of the Respondents should not be restricted or even deprived by the emergency arbitration procedure; second, if the Respondents file a lawsuit, application, etc. in the courts of other jurisdictions, the legality and justifiability of the act should be determined according to the law of that jurisdiction. Even if this interim relief is granted by the emergency arbitrator, it would be difficult to be enforced by the court of that jurisdiction; third, if the act of the Respondents to file a lawsuit, application or other procedures objectively hinders the enforcement of the emergency arbitrator's decision, the subsequent arbitral tribunal hearing the disputes between the Parties will decide whether the Respondents' act has violated the good faith principle in arbitral proceedings; lastly, cooperation with the decision or order of the emergency arbitrator is an inherent requirement of good faith arbitration as applied in the issue of interim measures. The obligation to cooperate need not and is inappropriate to be an independent interim measure. Therefore, this request of the Applicants is not sustained.

Fourth request of the Applicants: exceptions to this decision

75. The Applicants submitted that the decision of the emergency arbitrator should not prohibit Mr. R withdrawing US\$ 500 per week as daily living expenses, nor should it prohibit Cayman Islands Company Z withdrawing US\$ 1,000 per week for the maintenance of its day-to-day operations.
76. Since this decision only restricts the Respondents' disposal of Cayman Islands Company Z's loan claims and the shares of HK Capital Company held by the Respondents, there is no evidence that it would impoverish Mr. R, or that Cayman Islands Company Z will undergo hardship in maintaining its operations as a result of the decision. Therefore, the request of exceptions by the Applicants is

not granted.

Fifth request of the Applicants: scope of effectiveness of this decision

77. In order to ensure successful enforcement of the decision of the emergency arbitrator, the Respondents shall not imply, encourage affiliated persons, directors, officers, employees or agents of Cayman Islands Company Z to perform the restricted acts, or let those persons to perform the restricted acts on their behalf.

CHAPTER VI. IF INTERIM MEASURES ARE GRANTED, WHETHER THE APPLICANTS SHOULD PROVIDE SECURITY AND HOW TO DECIDE THE AMOUNT OF SECURITY

78. The Applicants has signed preservation liability insurance with China Ping An Property Insurance Co., Ltd. The total amount of insurance is RMB 400 million which has fully covered the amount of arbitration request being approximately USD 60 million.
79. The Respondents submitted that the insurance totaling RMB 400 million provided by the Applicants was not enough to cover the loss that the Respondents may suffer as a result of the interim measures. According to the rules on information disclosure of the Hong Kong Stock Exchange, Cayman Islands Company Z should disclose in full any unfavorable circumstances it is subject to. If information about the interim measures is disclosed, the stock price of the company will be impacted, which would further damage the interests of the Respondents and the Applicants. Moreover, once the interim measures are carried out, the capital chain of HK Capital Company M is very likely to be affected, so are the daily operations of HK Capital Company M, Shenzhen Company S and its affiliates in Mainland China. Therefore, the insurance amount of 400 million yuan is far from being sufficient to cover the loss that the Respondents may suffer.
80. The Emergency Arbitrator holds that the request for an emergency arbitrator or arbitral tribunal to grant interim measures is similar to applying for preservation measures in litigation. Since the timing for requesting the designation of an emergency arbitrator and granting interim measures is between the acceptance of the case and the constitution of the arbitral tribunal, reference could be given to the rules of preservation in litigation (rather than pre-litigation preservation) in China in deciding the amount of security. Article 5 of the Supreme People's Court's Provisions on Several Issues Concerning the Cases of Property Preservation Handled by People's Courts (Fa Shi [2016] No. 22) stipulates: "Where a people's court orders the applying party to provide security in accordance with Article 100 of the Civil Procedure Law, the amount of the security shall not exceed 30% of the claimed preservation amount; if the property involved in an application for preservation is the subject matter of a dispute, the amount of the security shall not exceed 30% of the value of the subject matter in dispute. Where an interested party applies for property preservation before

litigation, it shall provide a security equivalent to the claimed preservation amount; under special circumstances, a people's court may handle it at its discretion."

81. In this case, the RMB 400 million insurance provided by the Applicants has basically covered the amount of its arbitration request. This ratio is much higher than the limit of 30% as stipulated in the Provisions of the Supreme People's Court on Several Issues Concerning the Cases of Property Preservation Handled by People's Courts (Fa Shi [2016] No. 22). The full security provided by the Applicants is reasonable. The original copy of the insurance policy of the Applicants has been deposited with the Commission. If a claim arises in future litigation proceedings, the Respondents or relevant courts can investigate or collect it from the Commission.

CHAPTER VII. DECISION

82. Based on the above opinions, the emergency arbitrator orders the following:

1. The Respondents shall not transfer either with or without compensation, damage, pledge or mortgage Cayman Islands Company Z's loan claims of HK\$ 300 million to HK Capital Company M, or otherwise create any encumbrance on such claims in any way;
2. Mr. R shall not transfer either with or without compensation, damage, pledge or mortgage the shares of HK Capital Company M, or otherwise create any encumbrance on such claims in any way. Cayman Islands Company Z shall not transfer either with or without compensation, damage, pledge or mortgage the shares of HK Capital Company M or otherwise create any encumbrance other than to distribute the shares of HK Capital Company M to each shareholder according to the shareholding ratio in compliance with the Resolution of the Shareholders' Meeting on 18 September 2015;
3. The Respondents shall not imply, encourage persons affiliated with Mr. R, directors, officers, employees or agents of Cayman Islands Company Z to perform the restricted acts, or let those persons to perform the restricted acts on the Respondents' behalf.
4. The other requests for interim measures by the Applicants are overruled.

83. This decision is rendered on 29 September 2017 and takes effect as of that date. The place of arbitration for this procedure is Beijing, People's Republic of China.